As an example, the powers of banking regulation have been utilized to block competition against incumbent banks (e.g., by preventing foreign banks from operating in India, and by preventing the entry of new Indian private banks) and competition against banking (e.g., by preventing adjacent industries from competing against banks for their business). In Indian banking, market power has been induced by RBI.

Similarly, the market for agricultural products has been organized around monopoly power for agricultural produce market committees (APMCs). The state has promised to punish farmers if they sell to anyone other than the APMC. In Indian agriculture, market power has been induced by the APMC Acts.

Market power results in bad outcomes, regardless of whether the actor in question is public or private. We should be as zealous about dismantling state-induced barriers to competition as we are when attacking market power created by private persons.

Policy questions in many areas have a remarkable impact upon competition. As an example, when port reforms were done by bringing in multiple competing operators at the Jawaharlal Nehru Port Trust (JNPT), this was an inspired leap of combining greater competition with private production of infrastructure services. For a contrast, when the same vendor controls the old and new Mumbai airports, this is a lost opportunity in terms of improved competition.

Summing up

The desire for vigorous creative destruction animates our interest in competition policy. All across the economy, we require a progressive outlook supporting entry and competition. Political economy generally favours the incumbent, and leads us towards stagnation where one industry after another are locked up by a few powerful incumbents.

At present, Indian public policy does not give pride of place to competition policy. Far from always promoting competition, many state